

Know Your Numbers Before You Grow

Finance

Book 5



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Introduction: Why Numbers Come Before Growth

Welcome to FINANCE: Know Your Numbers Before You Grow — Book 5. This book is a field guide for owners who want simple, strong money systems before they scale. You will set up clean accounts, track your money, manage cash flow, build a basic budget, and stay ready for taxes. The goal is calm, clarity, and control — not complexity. You will not see confusing jargon or software rabbit holes. You will see real-world examples, step-by-step basics, and rules you can apply today.

Chapters Overview

- Setting Up Your Business Bank Account — Separating personal and business money.
- Basic Bookkeeping — Logging money in and out.
- Cash Flow Basics — Making sure you never run out of cash.
- Simple Budgeting — Planning your month or quarter.
- Tax Basics — What to track and what to save.

CHAPTER 1

SETTING UP YOUR BUSINESS BANK ACCOUNT

Separating personal and business money.



What This Means

This is the first step in running a real business. Before logos. Before websites. Before anything else... You must separate your money: Business money goes in a business bank account. Personal money stays in your personal bank account.

If your money is mixed together, you don't own a business — you own a mess.

Why This Matters

When money is mixed, you have no idea if you're making money or losing money. You cannot: Track expenses. See real profit. Know if jobs are worth it. File taxes correctly. Apply for a loan or credit. Sell your business later. Prove income with any confidence. If everything hits one account, your brain stays confused. And confused owners make bad decisions. A clean account creates a clear mind — and a clear mind makes smarter money choices.

Let's Use a Simple Example — A Mobile Car Detailing Business

You drive to people's homes, clean their car, and get paid. Simple enough... right? But here's what usually happens: You get paid \$120 cash → goes into your personal account. You buy new cleaning supplies → paid from the same account. You buy groceries → same account. You pay rent → same account. Now at the end of the month... You have no idea if your business made anything. Was it profit? Was it loss? Was it just gas money? No clue. That's why business owners feel stressed. Not because money is bad — but because the money is unclear.

The Fix: Open Two Bank Accounts

You need:

- 1) Personal Account — For your life. Groceries, rent, bills, Netflix, etc.
- 2) Business Account — For your business only. Money IN → from customers. Money OUT → supplies, tools, fuel, software, marketing.

Once your accounts are separate: You can finally see your profit. You can make better decisions. You can track expenses easily. Taxes become way simpler. Your business becomes “real.” This is the first step toward growing without guessing.

How to Open a Business Bank Account (Beginner Level)

Step 1: Pick a bank (Chase, Bank of America, your local bank — doesn't matter).

Step 2: Ask for a business checking account.

Step 3: They'll ask for: your driver's license, your business name (LLC, DBA, etc.), your business address, your EIN (if you have one — easy to get later).

Step 4: Deposit just a little money (\$50–\$200). Step 5: From now on — all business money goes here. That's it. Nothing complicated. Nothing scary. One hour of work makes your business real.

If your business and personal money are still mixed today, stop everything and fix that first. Before marketing. Before sales. Before anything. You can't drive forward with a foggy windshield.

Why It Works (Car Detailing Example)

Let's say you earn \$2,000 in a month detailing cars. Your business account shows: \$2,000 money in; \$500 gas & supplies; \$150 software (booking system); \$100 tire replacement; \$20 car wash towels. Total expenses: \$770. Money left: \$1,230. That's your real profit. Now you finally know — Is this working? Can I grow this? Is this worth it? Confidence comes from clarity — and clarity comes from separation.

What NOT to Do

- Put everything in one account.
- Try to “remember” what’s business vs personal.
- Pay business bills with personal cards.
- File taxes from one messy pile.
- Wait until you’re “making more money.”

One-Sentence Summary



Real businesses have separate money — and clear numbers.

Quick Recap

- Separate your business and personal money.
- Open one business bank account.
- Run all business money through it.
- Never mix personal and business expenses.
- This gives clarity — and clarity gives confidence.



CHAPTER 2: BASIC BOOKKEEPING

Logging money in and out.

What This Means

Bookkeeping simply means keeping track of what money comes in and what money goes out. That's it.

Not taxes. Not spreadsheets. Not advanced accounting. Just knowing where your money went. If you don't track it, you can't control it. And if you can't control it, it will control you.

Why This Matters

Most small business owners think they're making money... until they finally track it. That's when they realize: "I'm working hard, but nothing's left." "Where did it all go?" "Was that job even profitable?" "Why does it feel like I'm always catching up?" Stress comes from not knowing. Knowing your numbers doesn't make business scary — it makes business calm. Bookkeeping is your flashlight in a dark room. Once it's on... things stop being scary.

This Chapter's Example — A Local Coffee Cart

A coffee cart seems simple: "I sell coffee. I make money. Done." But here's what owners forget: Cups cost money. Milk costs money. Coffee beans cost money. Sugar packets cost money. The cart rental costs money. Gas to get there costs money. Square or Stripe fees cost money. The health permit costs money. If you don't track what's going OUT, you don't actually know what's coming IN. You just hope it's profit. Hope is not a financial system.

What to Track (Beginner Level)

You only need to log two things:

- 1) Money In (Sales). Examples for the coffee cart: \$4 for a latte; \$3 drip coffee; \$6 cold brew; \$15 catering order; \$60 farmer's market day total.
- 2) Money Out (Expenses). Examples: \$98 coffee beans; \$42 cups and lids; \$15 sugar and cream; \$40 propane for burner; \$50 booth rental; \$25 Square processing fees. That's it. Track these and you're already better than most owners.

You don't need software at first. You don't need QuickBooks yet. You don't need a bookkeeper yet. Start like this: Date; Money In; Money Out; Notes.

Date Money In Money Out Notes

4/2	\$240	\$62	Farmer's market
4/3	\$120	\$0	Slow day
4/4	\$140	\$20	Supplies
4/5	\$200	\$75	Big order
4/6	\$80	\$0	Rainy day

Already, patterns start to show: "Fridays are strong." "I spend more than I think." "These big orders help." "I'm wasting money on slow days." This is why bookkeeping matters. It turns confusion into clarity.

**Write it down every day.
Even if it's just one number.
Money moves fast. Memory
moves slow. Don't rely on
memory. Daily tracking
builds discipline — and
discipline builds profit.**

What NOT to Do

- Don't try to remember everything.
- Don't mix personal and business spending.
- Don't wait until tax season.
- Don't track money "when you have time."
- Don't buy fancy software too early.
- Don't think "I'll worry about money later."

Let's Put It All Together — Coffee Cart Example

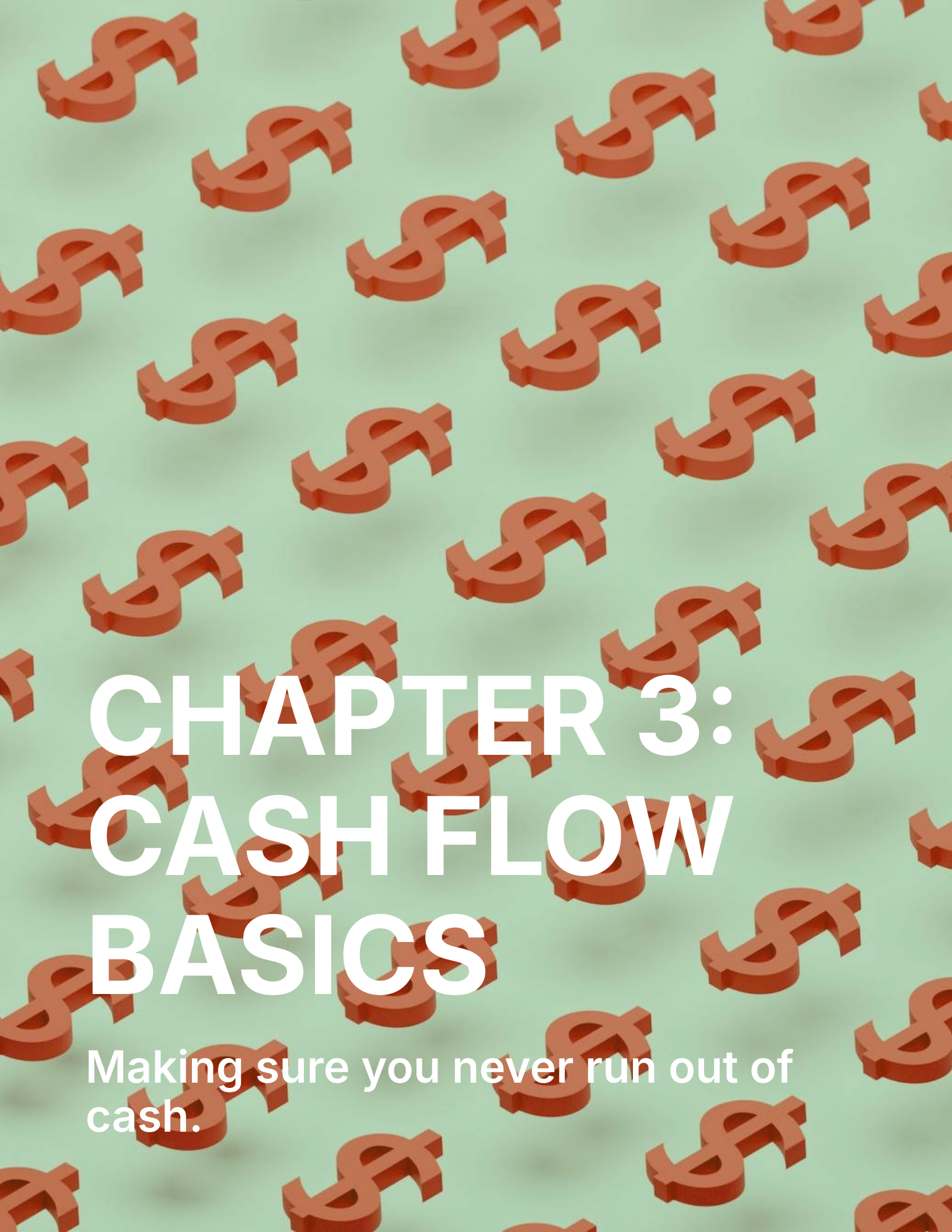
Owner tracks daily numbers for 30 days. At the end of the month they see: \$4,200 money in. \$1,700 money out. \$2,500 profit. Before bookkeeping, they thought the cart was barely breaking even. Now they see — it's a real business with money to grow. They feel confident. They make smarter choices. They stop guessing. They stop stressing. That's the power of bookkeeping.

One-Sentence Summary

If you don't track your money, you're running your business in the dark.

Quick Recap

- Bookkeeping = logging money in and money out.
- You only need a simple table to start.
- Track it daily, even if it's one number.
- Patterns will appear — and patterns are power.
- Clarity reduces stress and increases profit.
- A business with no numbers is just a guess.



CHAPTER 3: CASH FLOW BASICS

Making sure you never run out of cash.

What This Means

Cash flow means when money comes in and when money goes out. It's not just about how much money you make... It's about when money shows up — and when bills are due. Even profitable businesses can go broke if cash comes in too late and bills come too early. Cash flow is timing. That's why it matters.

Why This Matters

Your business can be profitable on paper... and still die in real life because you ran out of cash. Most small businesses don't fail because of bad products. They fail because of bad cash timing. Bills hit faster than money arrives. Suddenly they say: "I need money NOW." "Maybe I need a loan." "I'll wait for the next job..." Stress rises. Debt grows. Confidence drops. Cash flow is survival. Without it — your business suffocates.

This Chapter's Example — A Small Landscaping Business

This landscaper mows lawns, trims bushes, maybe plants flowers. Work is solid... But payments are slow. Customers love the work... But they take 30 days to pay. Meanwhile: Gas must be paid today. Workers must be paid today. Supplies must be paid today. So profit may exist — but the cash isn't there yet. This is why cash flow matters more than profit.

The 3 Parts of Cash Flow

- 1) **Money In** (Timing Matters). Ask: When does money actually arrive? Landscape example: Job done Monday. Invoice sent Tuesday. Customer pays next month → Too slow. You need faster payment rules.
- 2) **Money Out** (Bills Are Not Patient). These don't wait: Fuel, Equipment, Labor, Dump fees, Replacement tools, Repairs, Insurance. Bills don't care about your feelings. They arrive on time, every time.
- 3) **The Gap**. This is the danger zone — the time between when you do the job and when you get the money. The gap is where businesses die.

How to Fix Cash Flow (Landscaper Example)

Here are simple ways to fix cash flow without loans or stress.

Fix #1: **Get Paid Faster.** Instead of "Pay within 30 days" — say: "Payment is due at time of service." Or: "To book your spot, a deposit is required." Or: "Recurring customers are auto-charged monthly." That one change can save your business.

Fix #2: **Know Your Weekly Cash Needs.** List your weekly bills and add them up to find your survival line. Example: Gas \$120; Labor \$600; Tools \$40; Dump fees \$30; Insurance \$15. Now you know how much money must enter each week just to stay alive.

Fix #3: **Save a Cash Buffer.** Goal: Save 1 week of expenses. Then 2 weeks. Then 1 month. That buffer protects your business from slow weeks, emergencies, late payments, and broken equipment. Cash buffer = breathing room.

What NOT to Do

- Don't wait until the end of the month to check your bank.
- Don't allow late payments without rules.
- Don't assume every job will pay on time.
- Don't depend on credit cards to survive.
- Don't pretend cash flow will "fix itself."

Let's Put It All Together — Landscaping Example

Before cash flow systems: The landscaper works hard but waits 30 days to get paid. He runs out of cash and considers quitting. After cash flow systems: He requires deposits, sets auto-pay, tracks weekly expenses, and builds a cash buffer. Now he knows his numbers and breathes easier. His business feels calmer. More predictable. More real. **Cash flow didn't give him fancy profits — it gave him control.**

Profit is theory. Cash flow is survival

Quick Recap

- Cash flow = timing of money in and out.
- Your business can be profitable but still go broke.
- Bills move fast — payments must move faster.
- Track weekly expenses (survival line).
- Get paid quicker (rules, deposits, auto-pay).
- Save a small cash buffer — then grow it. Cash flow is the heartbeat of your business. Ignore it, and the business dies.

CHAPTER 4: SIMPLE BUDGETING

Planning your month or quarter.



What This Means

A budget is a simple plan for your money. It answers three basic questions:

- 1) How much do I expect to earn?
- 2) How much do I expect to spend?
- 3) Will I have money left over — or run out?

Budgeting is NOT about guessing. It's about staying ahead instead of being surprised.

Why This Matters

A budget gives you control, even before the month begins.

Most small business owners don't plan their money. They wait for problems, then panic. They say: "I hope this month is better." "Let's just see what happens." "I'll figure it out later." "If it gets bad, I'll put it on the card." That is not a system. That is gambling. When your money has no plan, your brain has no peace.

This Chapter's Example — A Home Painting Business (Interior Rooms Only)

Perfect example for budgeting: Busy some months, slow other months. Supplies = variable cost. Jobs require planning. Can book ahead. Needs a clear monthly money plan. Let's show how a beginner budget makes stress disappear.

The 3-Part Beginner Budget

Only three numbers are needed:

1) **Expected Income** — How much do you think you will make this month? Example painter: "I've already booked 3 jobs at \$900 each. That's \$2,700 expected."

2) **Required Expenses** — Money you must spend to stay alive. Example:

Expense	Amount
Paint & supplies	\$300
Gas	\$150
Marketing ads	\$200
Insurance	\$80
Phone & software	\$60
Total	\$790

3) **What's Left (or Missing)** — \$2,700 income – \$790 expenses = \$1,910 left. Now the painter doesn't have to guess. They know: Bills are covered. Profit is possible. Pressure is lower. Panic is gone. That is the power of budgeting.

How to Build a Beginner Budget (Painter Example)

Step 1 – Write Down Income You Expect. Example:

Job 1 — \$900

Job 2 — \$900

Job 3 — \$900

Total: \$2,700 expected.

Step 2 – Write Down Expenses You Must Pay. Things like: Supplies; Gas; Labor (if any); Insurance; Marketing; Software; Phone.

Step 3 – Do the Math. $\text{Income} - \text{Expenses} = \text{What's left}$. This number tells you if you're okay, you're in danger, or you need more jobs.

When the Math Doesn't Work

What if expenses are higher than income? You have three options: 1) Book more jobs. 2) Raise prices. 3) Cut expenses. The worst option? Pretend it's fine.

Budgeting doesn't fix problems — it reveals them early, before they get painful.

What NOT to Do

- "I'll see what happens."
- "I'll fix it when things slow down."
- "I'll check numbers at the end of the month."
- "I'll put it all on a credit card."
- "I'll sort it out during tax season."

Let's Put It All Together — Painting Example

Without a budget: The painter works hard and hopes for money. Stress stays high. With a budget: The painter sees income and expenses upfront. Knows profit before the month starts. Makes clear decisions. Sleeps better at night. Budgets don't make money. They make clarity. Clarity makes better decisions. Better decisions make more money.

One-Sentence Summary

A budget is not control over your money — it's control over your stress.

Quick Recap

- Budgeting is planning your month before it starts.
- Only three numbers matter: income, expenses, what's left.
- If expenses are higher than income → fix it now, not later.
- Budgeting prevents surprises.
- It creates calm, clarity, and better decisions.
- A business without a budget is driving blind. A budget is your monthly flashlight.

CHAPTER 5: TAX BASICS

What to track and what to save

**not a CPA*



What This Means

Taxes are not just a yearly headache. They are part of running a real business. But beginners make one big mistake: They wait until tax season... instead of preparing during the year. Then stress hits. They panic. They scramble. They guess. They pray. This chapter shows how to avoid that — with a simple system anyone can follow, even if they hate numbers.

Why This Matters

If you ignore taxes until the end of the year — you will overpay, get stressed, or get fined. That's how businesses get crushed: IRS letters. Late fees. Missed deductions. Debt. Stress. Fear of checking the mailbox.

Taxes are NOT hard... if you prepare a little bit all year long. The key is this: Don't get ready for tax season. Stay ready.

This Chapter's Example — A Dog Grooming Service (Home-Based)

Perfect tax example: Works for cash + card. Has supplies. Has tools. Has travel miles. Has real expenses. Needs to track profit. Needs clean records. A home-based dog groomer can save thousands per year on taxes — only if they track things correctly. Let's make it simple.



The Three Things You MUST Track for Taxes

You don't need to know everything. You only need to track these 3 categories all year:

1) **Money In (Income)**. Every payment from customers — cash, card, Venmo, Stripe, cash app — all of it.

Example (dog groomer):

Date — Customer — Amount.

3/2 Sarah + Bella (bath & trim) \$55.

3/2 Marcus + Rocky (nail trim) \$18.

3/3 Cash walk-in \$40.

At end of year → this adds up to your total income.

2) **Money Out (Business Expenses)**. This is where deductions come from — deductions lower your taxes. Example dog grooming expenses: Shampoo & brushes \$120; Clippers \$180; Towels \$40; Gas for travel \$65; Booking software \$30/mo; Dog treats \$24. These are tax write-offs — but only if you tracked them.

3) **Tax Savings (Set Aside Now — Not Later)**. Beginner rule:

Save 15–20% of every payment for taxes.

Put it in a separate savings account — untouched. Example: Customer pays \$50. Groomer keeps \$40. \$10 automatically goes to tax savings. That's how you avoid panic in April. One small habit. Every time you get paid.

Where to Track This

You can use: A notebook. A spreadsheet. A notes app. A simple Google Sheet. Or software (later — QuickBooks, Wave, FreshBooks, etc.). The tool doesn't matter. Only one rule matters: Track it every week — no excuses.

What NOT to Do

- Don't wait until tax season.
- Don't try to "remember" business costs.
- Don't mix personal spending with business spending.
- Don't guess your income.
- Don't spend every dollar you earn.
- Don't think "the IRS won't notice."

Let's Put It All Together — Dog Groomer Example

The dog groomer does just three things all year long: 1) Tracks all income. 2) Tracks all expenses. 3) Moves 15–20% of every payment into a tax savings account. Then tax season arrives... They open their records... And everything is already sorted. No panic. No scrambling. No guessing. Just peace. Tax season becomes paperwork, not pain. That is the goal.

One-Sentence Summary

“

Taxes are only scary when you wait — small habits all year keep them easy.

Quick Recap

- Taxes are part of business — not a once-a-year problem.
- Track income, expenses, and savings.
- Save 15–20% of every payment for taxes.
- Use any simple system — just use it consistently.
- Good records lower your taxes and protect you.
- Tax season should be calm — not panic. Business is easier when you stay ready — not when you rush later.

9-BOOK DIY CURRICULUM MAP

*"All nine books together build a
predictable revenue machine."*

Simple Interpretation for Small Business Owners

Books 1–3 teach you how to *get customers*.

Books 4–5 teach you how to *keep customers*.

Books 6–8 teach you how to *run the business behind the scenes*.

Book 9 teaches you how to *lead the business like a CEO*.

PHASE 1 — FOUNDATIONS

What you sell, who you sell it to, and how people find you.

1. PRODUCT (Start Here)

Build something people want → understand problem, customer, offer, landscape, MVP.

Unlocks: Marketing + Sales effectiveness.

2. MARKETING

Now that you know your offer and customer → learn to generate leads.

Unlocks: Sales pipeline consistency.

3. SALES

Once leads are coming in → learn to convert them into revenue.

Unlocks: Customer Success workflows and financial predictability.

Why this phase matters:

You go from *"I have an idea"* → *"I can attract and close paying customers."*

PHASE 2 — DELIVERY SYSTEMS

How you turn customers into raving fans and repeat buyers.

4. CUSTOMER SUCCESS

Once sales convert customers → you learn to onboard, deliver, and retain.

Unlocks: Recurring revenue + testimonials + operational clarity.

5. OPERATIONS

Now you systematize the entire delivery engine: SOPs, checklists, templates, processes.

Unlocks: Quality control, scalability, and reduced chaos.

Why this phase matters:

You go from *"I can sell"* → *"I can consistently deliver and retain."*

PHASE 3 — BUSINESS INFRASTRUCTURE

Tools, numbers, and people who make the machine run.

6. TECHNOLOGY

Once operations are forming → you add the tools that support scale (CRM, website, email, payments).

Unlocks: Data visibility, automation, and speed.

7. HUMAN RESOURCES

Once delivery is predictable → you hire and train people to help.

Unlocks: Delegation, team growth, and freeing the founder.

8. FINANCE

Once business grows → you install financial basics (bank accounts, bookkeeping, cash flow, budget, taxes).

Unlocks: Correct pricing, healthy margins, and sustainable growth.

Why this phase matters:

You go from *"I do everything manually"* → *"My business has real systems and support."*

PHASE 4 — SCALING THE BUSINESS

You become the CEO instead of the operator.

9. GOVERNANCE

Once you have customers, systems, tools, finances, and a team → you implement the rhythms and standards that keep the business aligned.

Includes:

- Comp plans
- Cultural standards
- Planning rhythms
- Promotions/exits
- Decision-making framework

Unlocks:

- True leadership
- Predictable growth
- A business that runs without you

Why this phase matters:

You go from *"I built a business"* → *"I operate like a CEO."*